



March 18, 2025

NITRD National Coordination Office
Attn: Faisal D'Souza, Technical Coordinator
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

RE: PSC Comments on “Request for Information on the Development of an Artificial Intelligence (AI) Action Plan” (revised)

Dear Mr. D'Souza:

On behalf of the Professional Services Council (PSC), I am pleased to submit comments on the National Science Foundation's (NSF) request for information (RFI) on “Development of an Artificial Intelligence (AI) Action Plan,” as published in the *Federal Register* on February 6, 2025. This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

Through this RFI and on behalf of the White House Office of Science and Technology Policy, the NSF's Networking and Information Technology Research and Development National Coordination Office (NITRD NCO) seeks input to help develop an AI Action Plan that is required under Executive Order (EO) 14179, “Removing Barriers to American Leadership in Artificial Intelligence”; the Plan is to “sustain and enhance America's global AI dominance in order to promote human flourishing, economic competitiveness, and national security.”¹ The RFI, in turn, seeks to gather input from interested parties regarding how to achieve those goals while also ensuring that related requirements do not hamper private sector AI innovation.²

As you may know, PSC is an industry association with more than 400 member companies—small, mid-sized, and large—that provide much-needed technology and professional services to all federal agencies. These companies and their workers throughout America, and around the world, are equally as committed to U.S. Government missions as federal civilian and uniformed personnel. PSC supports our members and their federal government customers by promoting effective government practices and policies, improvements in federal contracting, and constructive dialogue between the federal government and industry. Therefore, the PSC comments included in this document focus on the interests of the entire federal government and the role that the federal contracting community plays in supporting critical agency missions.

¹ Executive Order 14179 - Removing Barriers to American Leadership in Artificial Intelligence. (2025, Jan 23). 90 FR 8741. Retrieved from <https://www.govinfo.gov/content/pkg/FR-2025-01-31/pdf/2025-02172.pdf>.

² Networking and Information Technology Research and Development (NITRD) National Coordination Office (NCO), National Science Foundation. (2025, Feb 6). Request for Information on the Development of an Artificial Intelligence (AI) Action Plan, 90 Fed. Reg. 9088. Retrieved from <https://www.govinfo.gov/content/pkg/FR-2025-02-06/pdf/2025-02305.pdf>.

Of note, in 2023, PSC established an internal AI Working Group to support a growing emphasis on emerging technologies in general and AI in particular.³ The working group, which includes PSC members and industry leaders in AI, holds monthly not-for-attribution meetings to track trends, discuss challenges, share best practices, and develop recommendations on the evolution of AI and generative AI (GenAI) within the federal context. **As the government continues to work on its AI Action Plan, PSC would be happy to facilitate dialogue, as appropriate, on the Administration’s AI policies beyond the scope of this rulemaking and explore how the federal contracting community can best offer support.**

In general, PSC recognizes that it is the prerogative of every new administration to ensure that programs and policies align with that administration’s priorities. On the specific topic of AI, PSC supports the government’s emphasis on fostering competition and innovation within the federal marketplace and maintaining U.S. leadership across the globe on AI and other emerging technologies. Toward those ends, PSC notes that:

- 1) Federal contractors provide significant value and play a crucial role in enhancing the efficiency of federal government operations and supporting critical agency missions by delivering expertise that complements and strengthens federal agency capabilities.
- 2) By leveraging innovative commercial solutions, federal contractors can streamline processes and modernize systems, reduce operational costs, and improve the customer experience for millions of American taxpayers.
- 3) Creating an environment where federal AI policies empower federal contractors to deliver cutting-edge technology-driven solutions will also help the federal government better address evolving needs and foster a more competitive environment that supports U.S. commercial innovation against competitors in the global marketplace.

Therefore, PSC respectfully offers comments on key AI topics outlined in the RFI, including:

- I. Procurement;**
- II. Application and use;**
- III. Explainability and assurance of AI model outputs;**
- IV. Risks, regulation and governance;**
- V. Education and workforce;**
- VI. Export controls; and**
- VII. Technical and safety standards.**

I. Procurement

To ensure U.S. leadership in AI, federal agencies must adopt procurement strategies that enable the government to keep pace with rapid technological advancements—leveraging both innovative acquisition tools and those based in the Federal Acquisition Regulation (FAR). Furthermore, AI has the potential to alleviate constraints related to the acquisition workforce (i.e., vacancies, workload, training), and acquisition professionals can collaborate with industry partners on ways

³ Professional Services Council. (n.d.). Technology and Innovation Council. Retrieved from https://www.pscouncil.org/psc/Councils/e/_p/cc/Technology_Council.aspx?hkey=43021f8b-4d23-4c57-a9f0-33b3ceda7d8e.

in which the government can appropriately and successfully integrate AI into federal acquisition processes and enhance efficiencies (e.g., shortened procurement acquisition lead times).

- ***Recommendation I-1. Look for opportunities to learn and experiment in areas of relatively low risk to both agencies and their industry partners.*** For example, how can relevant federal offices identify successful private sector practitioners and establish structures for monitoring and sharing lessons learned across organizations? What are areas in which acquisition officials can use AI to aggregate information, create communications, or process large amounts of data? It is worth noting that given sensitivities related to business information, the importance of contract award decisions, and the relative immaturity of training AI to reflect accurately what users intend, PSC does **not** recommend the use of current AI technologies in the federal contract proposal evaluation process.
- ***Recommendation I-2. Raise awareness of, and mitigate, potential errors.*** The current generation of AI tools have been “trained” (or even “pre-trained”) using primarily open-source data available on the internet. The selection and availability of those training data leads inevitably to limits of the answers generated. Federal acquisition officials should understand that while they cannot eliminate the risk of errors in AI-generated responses, they can take reasonable steps to mitigate such risk. **PSC recommends the federal government increase awareness of the potential for errors in domains where AI is being considered for use and increase public-private dialogue on risk mitigation strategies and solutions, especially related to GenAI tools.**
- ***Recommendation I-3. Design security into AI.*** Federal acquisition officials must apply the same types of security standards and requirements (e.g., FedRAMP, FISMA, Authority to Operate (ATO)) to AI integrated systems or solutions and GenAI capabilities (i.e., generating outcomes or tasks) that are applied to software products or solutions, particularly if federal government or contractor data are being stored or used. Contracting officers (COs) must be diligent, not allowing proprietary or sensitive data to be leaked using public GenAI tools. **PSC urges the government to enforce this careful application of standards and requirements to AI tools and further encourages close partnerships between federal acquisition officials and their agency’s CIO and / or CISO offices to find AI solutions that have appropriate security in place.**

One particular security consideration area is worth highlighting in response to the NSF RFI. To encourage appropriate AI adoption and use across the federal government, mechanisms must be put in place to facilitate ATO processes; current ATO processes are costly and time-consuming, and they disincentivize development of AI innovations that would benefit the federal government and citizens. **PSC recommends ATO-related improvements to include: (1) preapproved AI security models and reference architectures; (2) fast-track approval pathways for low-risk AI applications; and (3) tiered, risk-based ATO approvals.** These approaches will accelerate development and deployment of AI solutions and incentivize experimentation with innovative AI tools, resulting in broader use of AI across the federal government.

- ***Recommendation I-4. Experiment with AI tools to assist in market research.*** In federal contracting, market research is an essential first step to identify solutions, understand market trends that can help meet agency needs, evaluate trade-offs, and potentially inform future requirements. The market research process can be tedious and time-consuming. **PSC recommends that acquisition officials consider using secure AI tools in market research to augment the acquisition workforce to (1) support better, faster decisions related to the commercial marketplace; (2) identify capability gaps and identify solutions; and (3) identify nontraditional vendors left out of current processes (i.e., expand the vendor pool). PSC sees market research as an area in which AI tools can be tested in parallel with, and comparison to, traditional methods.**
- ***Recommendation I-5. Provide clarity on the acceptant use of AI in the procurement process.*** Both federal government offices and commercial vendors will transition to some use of AI tools; this trend is unavoidable. **PSC encourages open communication, disclosure, and expectation-setting among all parties on the use of AI tools in the federal marketplace.** Acquisition officials should be explicit on the acceptability of cases in which GenAI is warranted (e.g., proposal drafting) and should also disclose if GenAI, or other technologies generally referred to as AI, will be used in the acquisition process. Importantly, contracting officers should ask bidders if AI tools are a component of offered solutions—not to prevent use but to have clearer understanding of proposed solutions.

Specifically, PSC believes that such policies should differentiate between AI-generated content and AI-assisted efficiency tools, so that AI use for non-substantive enhancements (e.g., formatting, grammar, data organization) are acceptable. **Clear, realistic guidelines on permissible AI use across the federal government will accelerate and enhance procurement processes while eliminating ambiguity.**

Given the current maturity of AI, **PSC recommends that the federal acquisition workforce should consistently verify the results generated by their use of AI tools. Those results, especially within the context of the contract evaluation process, should never be automatically accepted as accurate or complete.**

- ***Recommendation I-6. Standardize AI terminology and best practices.*** AI and its use can mean different things to different people—which means there is an imperative to develop and promulgate generally accepted definitions when discussing AI and AI-related terminology in the context of federal acquisition. Definitions would mitigate confusion within government procurement offices and across the federal contracting community. This can lead to clearer market signals to industry on appropriate technology investments to support agency needs. **PSC urges clarity in AI terms, including but not limited to AI, GenAI, machine learning, robotic process automation, and data analytics.**
- ***Recommendation I-7. Incentivize investment in AI innovation.*** AI has the potential for significant efficiency gains. The U.S. commercial sector is reaping these benefits by replacing time-consuming, manual processes with automated routines. However, similar gains come more slowly to the federal government, as existing policies can inhibit on-contract innovation. Many federal contracts pay based on hours worked, which does not

necessarily incentivize contractors to introduce AI solutions that increase efficiency. **PSC recommends development and promulgation of policies that allow more flexibility on the part of federal contractors and would be happy to facilitate dialogue and discussion—where appropriate—between this administration and industry stakeholders on formulation of those policies.**

For example, if federal contractors were paid based on outcomes achieved or objectives obtained—perhaps using an objectives and key results (OKR) structure or milestone-driven payments—they would be incentivized to introduce innovations that result in efficiencies and produce improved outcomes for the American taxpayer. Additionally, establishing clear guidelines for converting existing AI-enabled contracts to outcome-based models will help federal agencies adopt this model effectively while minimizing risks.

- ***Recommendation I-8. Eliminate restrictions that hinder or prevent technical collaboration.*** Rapid advancement of AI technologies, combined with existing procurement policies, makes it more difficult for federal agencies to acquire the best solutions quickly and at the lowest cost. Restrictions that prevent early engagement among vendors and government customers inhibit evaluation of AI solutions and the exploration of alternatives. **PSC believes the federal government should consider policies that allow for structured pre-solicitation phases and facilitate technical collaboration between potential vendors and federal agency stakeholders.** This can help to: (1) reduce the risk of undefined requirements, which often lead to wasteful contract modifications; (2) ensure that proposals are more accurate and complete; and (3) drive federal agencies to make more informed procurement decisions.

At the same time, **PSC believes the federal government should also focus efforts on current acquisition tools that can support innovation and competition against near-peer competitors.** These include but are not limited to the following: (1) intellectual property negotiation; (2) other transaction authorities; (3) Adaptive Acquisition Framework Pathways; and (4) Small Business Innovation Research and Small Business Technology Transfer Programs.

- ***Recommendation I-9. Prevent model lock-in.*** Policies should help mitigate AI vendor and model lock-in by encouraging flexibility in the use of specific AI models. The foundation model ecosystem is changing rapidly. New, powerful proprietary and open-source models are becoming available every quarter. To allow federal agencies to take advantage of the best technologies, **PSC recommends federal government policies should incentivize agencies to preserve flexibility and encourage variety in the use of federal contractors who can support new, different models and vendors as they become available.**

The table below includes additional opportunities to use AI in procurement with corresponding best practices

Procurement Phase	Opportunities and Best Practices
1. Developing Mission Needs	• Collating, summarizing, and organizing large amounts of data and information may be a good starting point for using AI.

	• AI tools should not be used for “down selecting” but should be used for information gathering, requirements refinement, and other efficiency-oriented steps. • AI tools may not have been trained on the full set of agency needs, so at this time AI is just one input. • Acquisition officials should communicate their anticipated use of AI to their CIO for part of a larger set of agency requirements.
2. RFP Development	• AI could be used to refine a draft of PWS scope and requirement statements, based on a library of past RFPs and requirements documents. • This is a starting point for agency personnel to refine and tailor these generated requirement statements to better fit the scope of their acquisition. Industry can also help if the agency is willing to publish their draft RFQ for industry comment through an RFI process.
3. Procurement Process with Industry	• AI could be used to help organize and answer Q&A, but answers need to be closely reviewed for accuracy and context. • Group submitted industry questions into categories using AI. Consider a large acquisition that has dozens or hundreds of interested industry partners. The contracting office can be inundated with hundreds of questions. AI could group these questions into categories and identify similar or duplicate questions. These categorized question sets can then be more efficiently distributed to the right stakeholders for more rapid answers.
4. RFP Evaluation	• Evaluating RFP is a complex and nuanced process. The industry is not ready for AI to be used in this way. The federal government can initiate discussions as this evolves. • Federal agencies could start with RFI or market research aggregation and summarization as a starting point. Since the RFI is not a contractually binding document and does not necessarily imply that a contract will be awarded, this mitigates the risks of applying AI, while still providing value to contracting offices in their acquisition lifecycle.
5. Post Award	• AI can be used to refine communications with vendors and navigate onboarding processes.

II. Application and use

AI applications encounter obstacles as many citizens are unfamiliar with underlying technologies and wary of potential risks. To drive adoption and maintain America’s leadership in AI, policy actions must effectively address these concerns.

- ***Recommendation II-1. Facilitate access to AI resources and data.*** The quality of AI outputs is largely a question of data, both the training data and the data available for

analysis and computation. Currently, AI innovation in the federal government is constrained by the lack of data sharing between, and among, federal departments and agencies. To innovate faster, this must change.

PSC recommends the federal government encourage broader AI application and use by promoting the sharing of data held by federal departments and federal agencies, especially data that is not subject to IP or privacy restrictions. This will provide other federal agencies, private industry, and researchers with valuable resources for developing new AI capabilities and technologies, especially in critical fields like healthcare. Modern approaches to data transparency and integration will allow AI solutions to reflect the full potential of the federal government and industry partners. This will increase confidence, improve the quality of AI results, and encourage broader adoption.

- ***Recommendation II-2. Encourage responsible AI.*** In critical sectors like healthcare, finance, and transportation, risks must be carefully managed because errors can lead to negative outcomes for intended communities. To mitigate these risks, guidelines for responsible AI must be developed and enforced. AI has the potential to improve outcomes and drive efficiency, but to ensure that potential is realized, American taxpayers must have confidence in the AI systems that are developed and used. Accordingly, **PSC urges the federal government to encourage the development of guidelines and regulations for responsible development and use of AI systems. A balanced approach to regulation will increase confidence, accelerate adoption, and promote the necessary innovation to keep the U.S. in its global leadership position.** (See Section IV. Risks, regulation and governance)

III. Explainability and assurance of AI model outputs

The reasoning processes of AI systems are regularly criticized as opaque. The lack of explainability discourages adoption and use, ultimately limiting innovation and endangering America's lead in this important field. Policies can be tailored to stimulate innovation while also increasing explainability. This will spur adoption and encourage further innovation.

- ***Recommendation III-1. Standardizing explainability metrics.*** PSC recommends the federal government collaborate with private industry to develop industry-wide standards for measuring and reporting the explainability of AI models. This will move explainability from a qualitative discipline to a quantitative one. With measurable standards, the transparency and interpretability of AI systems will increase, encouraging broader adoption and use.

Some tools, like Local Interpretable Model-agnostic Explanations (LIME) and SHapley Additive exPlanations (SHAP), are already being used to provide insights into model predictions. These tools are examples of how to provide greater transparency into AI outputs and illustrate a path forward. However, the lack of standardized metrics for explainability poses challenges in comparing and validating AI models across different

applications and industries. Federal government encouragement for industry-wide standards will address this challenge.

- ***Recommendation III-2. Invest in explainable AI research.*** PSC urges development and promulgation of policies that support research efforts to develop inherently interpretable AI models and improve existing techniques for model explainability. Such a strategic investment can accelerate adoption and use of AI solutions in the essential fields of healthcare, finance, and autonomous systems, where understanding the rationale behind AI decisions is crucial.

DARPA's Explainable AI (XAI) program is a leading example of work in this field. It aims to create AI systems whose decisions can be understood and trusted by human users. Policy should encourage additional programs and avenues of research in this area so that the federal government and private industry can collaborate on alternative approaches and pursue multiple promising pathways in parallel.

IV. Risks, regulation and governance

As the federal government explores ways to maximize AI's full potential while mitigating the associated risks through guardrails, PSC advocates for governmentwide implementation of safeguard protections based on baseline standards but also tailored to a given agency's mission and requirements. PSC's recommendations below focus on the appropriate use of AI foundation models by federal agencies and how federal operators or deployers should manage commercially developed AI products and services within the federal environment.

- ***Recommendation IV-1. Keep humans in the loop.*** Like humans, AI is prone to errors. Since AI risk factors can be mitigated, PSC urges federal officials to consider appropriate thresholds for AI—especially GenAI—to be adopted in line with missions (e.g., when and how should humans monitor, supervise, and support operations alongside AI and GenAI in the federal context?)

PSC recommends that the federal government consider a “human in the loop” approach towards AI and GenAI as a more practical method to address negative externalities and that “fail-safe” mechanisms should only be used as a last resort. Agencies can embed and standardize this approach, where appropriate, for general use applications and can tailor it for specific national security applications.

- ***Recommendation IV-2. Monitor human involvement of commercial GenAI.*** Relevant stakeholders should consider how best to incorporate GenAI governance and oversight structures for monitoring purposes. PSC has concerns about the legal exposure that commercial vendors could assume after their AI or GenAI products and services are procured by the federal government (e.g., who assumes risk once foundation or fine-tuned models are brought into a federal environment and run against federal data?)

PSC recommends establishing governance protocols that protect propriety information from unauthorized access or usage (i.e., govern how federal operators interact with data when using AI and GenAI technologies). Governance protocols can establish steps to inform federal operators on: (1) identifying the provenance of the data; (2) how data should be cleaned and labeled; and (3) who has authority to access and run the data through the model. Once these steps are established, they can provide justification for federal operators' specific prompts.

Moreover, an overall governance mechanism can provide value in terms of: **(1)** how the federal government is using AI—especially GenAI; **(2)** the benefit or value applied to the federal government; **(3)** the return on investment and how that return is measured; and **(4)** the risk profile and how that risk is measured. Governance mechanisms can also help Chief AI Officers, or other appropriate officials, with data collection and assurances that that GenAI models are being used correctly.

- ***Recommendation IV-3. Determine appropriate AI Use Cases.*** A December 2023 report of the Government Accountability Office stated, “Without accurate inventories, the government's management of its use of AI will be hindered by incomplete and inaccurate data.”⁴ The appropriate identification of AI Use Cases and completed inventories will support the appropriate safeguards, guardrails, and use of AI and GenAI in the federal context; those inventories can support innovation and help federal agencies assess AI maturity levels and determine which use cases could work for specific mission challenges.

To help guide federal agencies on how to move forward, particularly with GenAI, PSC recommends providing guidance on the categories of GenAI Use Cases that are low risk. While the AI Use Case inventories offer benefits, they are tailored to each federal agency. Providing categorized AI Use Cases will help federal agencies better understand the types of scenarios they can confidently pursue to address challenges.

PSC also recommends establishing a coordination council between industry and the federal government to: (1) monitor AI Use Case inventories; (2) identify inaccurate use cases; and (3) provide specific guidance for assessing a use case's impact on risk.

V. Education and workforce

The integration of AI tools and technologies into federal workforce training and federal agency functions can increase efficiencies across the federal government, leading to better outcomes for the American taxpayer. It can streamline federal operations and improve decision-making through faster data processing, which can prompt informed and more focused analysis.

However, the federal government must address longstanding workforce challenges—such as bureaucratic hiring processes, competitive pay issues, increasing demand for specialized skills—

⁴ Government Accountability Office. (2023, December 12). Artificial Intelligence: Agencies Have Begun Implementation but Need to Complete Key Requirements (GAO-24-105980). Retrieved from <https://www.gao.gov/products/gao-24-105980>.

that could complicate the rapid integration of AI technologies into the federal workforce. These challenges include training, reskilling, upskilling, as well as hiring and retention efforts.

At the same time, to integrate AI into agency culture and effectively leverage the federal workforce for AI-driven needs, federal executives must also embrace and implement cultural changes to drive AI awareness at the federal agency level. Implementation of AI policies and guidance only works if the federal workforce acquires the necessary skills, experience, or understanding to apply, identify, and operate AI-enabled technologies and solutions to support agency missions.

- ***Recommendation V-1. Broaden AI awareness and skills training.*** In-depth training should focus on the following: (1) basic education, including AI concepts; (2) data management and analysis; (3) natural language processing; (4) coding and programming; (5) AI risk management policies and training, to include a cybersecurity component; and (6) interagency communication / collaboration skills (e.g., communicating with people with different AI backgrounds, knowledge, expertise).
- ***Recommendation V-2. Identify AI “early adopters.”*** Identifying early adopters, or stewards, of AI within federal agencies is critical for peer-to-peer learning between staff and subordinates. Early adopters within federal departments and agencies can serve as champions of AI technologies, helping to drive adoption and build internal expertise. By fostering a culture of collaboration and knowledge sharing, early adopters can act as resources for others within the respective federal department or agency (e.g., providing guidance, support, and best practices for integrating AI solutions into critical mission and other operational needs). This approach can accelerate AI adoption and strengthen the overall capability of a federal workforce to adapt to evolving technological demands and to work side-by-side with federal contractors in a meaningful and efficient manner.
- ***Recommendation V-3. Explore skills-based hiring and nontraditional workforce approaches.*** Federal agencies should explore nontraditional workforce approaches, emphasizing skills-based hiring over traditional degree-based requirements to attract a diverse AI talent pool. By focusing on demonstrable skills rather than formal education credentials, federal agencies can tap into a broader talent pool, including individuals in geographically diverse areas and with nontraditional career paths. This shift would ensure that federal agencies are able to recruit individuals with the specific, practical skills needed to implement AI technologies effectively. Additionally, leveraging nontraditional workforce approaches such as remote work or contract positions can offer greater flexibility and access to a global talent pool, enabling federal agencies to quickly adapt to the fast-paced advancements in AI.

VI. Export controls

Managing and implementing export control measures on high-end semiconductor chips, technologies, and manufacturing equipment is becoming increasingly crucial as the federal government seeks to regulate the global flow of crucial software, hardware, and IP in order to

safeguard American interests, maintain its competitive edge against near-peer competitors, and lead globally on AI innovation.

The recent revelation that Chinese commercial entities are performing similarly to American companies could challenge America's aspirations for future technological dominance. As competitors develop more sophisticated AI capabilities, it will become increasingly difficult for the federal government to maintain exclusive access to these critical innovations—while managing the risks of technology leakage, the circumvention of regulations and export control measures—without inhibiting innovation by American and allied partners.

- ***Recommendation VI-1. Strategically apply export controls to safeguard innovation.*** The federal government must remain thoughtful in applying export controls on high-end semiconductor chips, technologies, and manufacturing equipment. However, there are industry concerns that unnecessarily burdensome restrictions may drive partner countries to seek collaboration with competitors (e.g., China). **PSC recommends that the government: (1) carefully consider the potential impacts of the Department of Commerce Bureau of Industry and Security's interim final rule, "Framework for Artificial Intelligence Diffusion,"⁵ particularly regarding overly restrictive regulations that could stifle innovation among America's allies and partners and (2) reissue this rule as a proposed rule to allow updated, timely industry comments.**

VII. Technical and safety standards

As America competes globally for AI dominance in R&D investment and in the fielding of AI-related products, services, and systems, there is a leadership role for the federal government in coordinating global efforts on the development and implementation of AI consensus-driven standards. This approach can leverage the government's policies, technical standards and frameworks, institutional and scientific know-how, established legal and regulatory ecosystems, and ability to coordinate with allies and partners on emerging technologies.

- ***Recommendation VII-1. Support global AI standards development and implementation.*** While such a global leadership role can be led by various federal departments and agencies, the Department of Commerce's National Institute of Standards & Technology (NIST)—as a standards development body—is well-suited to influence this space through a committee structure and coordinated efforts between the federal government and the private sector (including the many standards development organizations accredited by the American National Standards Institute on standards creation and implementation.)
- ***Recommendation VII-2. Develop adaptive regulatory frameworks.*** PSC encourages development of new, and continued use of current, regulatory frameworks that can adapt to the rapid pace of AI innovation. The AI Risk Management Framework (RMF), along with its GenAI Profile, is an example of a standard that manages AI risk and provides a

⁵ Department of Commerce, Bureau of Industry and Security. (2025, Jan 15). Interim final rule; request for comments - Framework for Artificial Intelligence Diffusion. 90 Fed. Reg. 4544. Retrieved from <https://www.govinfo.gov/content/pkg/FR-2025-01-15/pdf/2025-00636.pdf>.

foundation for governance while stimulating, and not stifling, innovation. Developing standardized frameworks for AI performance and risk assessment can enhance innovation by providing clear guidelines without imposing restrictive regulations. This approach ensures that AI applications are effective and reliable, supporting the Administration's goal of maintaining global AI dominance. **PSC recommends application and continued enhancement of NIST's AI RMF and similar frameworks to ensure effective risk management with AI solutions.**

- ***Recommendation VII-3. Leverage trade associations in global AI standards development.*** NIST should clearly identify and create a mechanism for diverse entities to engage in standards development regarding AI. This can support NIST's efforts to bring a variety of entities into the global AI standards process. Specifically, PSC believes that there is a role for U.S. trade associations in development and implementation of AI global standards, primarily as thought leaders and as a bridge between the AI standards ecosystem and the commercial sector. NIST can expand upon industry's role and the types of industry organizations that can inform the standards process to drive consensus.

PSC appreciates the Administration's willingness to engage with industry on a range of issues that are important to our nation's security, defense, and economic well-being, including the National Science Foundation's request for information regarding an AI Action Plan. This engagement is an iterative process that would clearly benefit from more forums for open dialogue and discussion. As an industry association representing these businesses, we at PSC look forward to continued engagement and would be happy to facilitate such dialogue and discussion, as appropriate. Should you have any questions, please feel free to contact me at [REDACTED] Thank you for your consideration.

Sincerely,

Stephanie Sanok Kostro
Executive Vice President for Policy